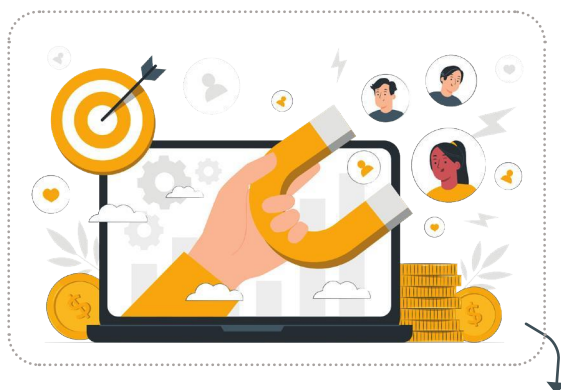


At the introduction stage, the product's use and market are not proven. Thus, only the early adopters are trying the product at this stage. As a result, sales are low and slow. Also, per-unit costs of manufacturing are high. Thus, low profits and heavy cash investments mark this stage.

The major characteristics of this stage are:

- Low and slow sales
- High product price
- Heavy promotional expense
- Lack of knowledge
- Low profits
- Narrow product lines^[14]



At this stage, firms should focus on advertising that is informative to potential buyers. As the product is new, firms should not hold back on heavy advertising and promotional expenses. The firms should also focus on selective distribution and segments where they can find early adopters.